May/June 2012 Paper 02

Section I (Compulsory)

Question 1

1(a) Small businesses

(i) Identify THREE features of a small business. (3 marks); (ii) State THREE reasons why small businesses are important to a community. (3 marks)

(a)(i) THREE features of a small business

- It is owned and run by one person or a small group of people, often the members of one family.
- It uses a small amount of capital and only a few workers, usually less than ten employees.
- It serves a small local market and has a small share of the total sales in its industry.

(a)(ii) THREE reasons small businesses are important to a community

- They provide jobs for people in the local area, including young people and women who may not be able to travel far to work.
- They supply goods and services that the community needs, such as bread, hairdressing or repairs, often at convenient times and prices.
- They keep money circulating in the local community because the owner usually lives nearby and spends his or her income with other local businesses.

1(b) Effect of growth on a business

Explain the effect of growth on EACH of the following: (i) Scale of production; (ii) Potential for export. (4 marks)

Scale of production

As a business grows, it can produce a much larger quantity of goods or services than before. This means it can buy raw materials in bulk at a cheaper price, use bigger and more efficient machines and spread its fixed costs over more units. This larger scale of production lowers the cost of making each unit and helps the business to earn higher profits.

Potential for export

When a business grows, it produces more than the local market can absorb, so it must look for customers in other countries. The larger size also gives it the money to meet international quality standards and to pay for shipping and marketing abroad. As a result, a growing business has a much greater chance of selling its products overseas and earning foreign exchange.

1(c) Benefits of CAD for a fashion designer

A fashion designer would like to introduce Computer Aided Design (CAD) into her fashion designing business. Outline TWO benefits that she will enjoy from using CAD in her business. (4 marks)

Faster and more accurate designs

With CAD software, the designer can draw, change and store designs on the computer in a fraction of the time it would take to do them by hand. She can quickly try different colours, fabrics and shapes on the screen and print out neat, accurate patterns, which means she can produce more designs in less time and make fewer mistakes.

Easier sharing of designs and lower costs

Because the designs are stored as electronic files, the designer can email them to clients, suppliers and seamstresses anywhere in the world for quick approval. This saves the cost of paper, printing and travel, and reduces the waste of fabric that comes from cutting wrong samples by hand.

1(d) Disadvantages of using technology in a small business

Discuss TWO disadvantages of using technology in a small business. (6 marks)

High cost of buying and maintaining the technology

Computers, software, printers and specialised machines are expensive to buy and have to be repaired, upgraded and replaced regularly. A small business with limited capital may struggle to find the money for the initial purchase and for the ongoing cost of internet, electricity and technical support. This can put a serious strain on the cash flow of the business and reduce the profits left for the owner.

Need for training and risk of system failure

The owner and the few workers in a small business often do not have the skills to operate new technology, so the business has to spend time and money on training. If the system breaks down or is attacked by a virus, the business may not have its own technical staff to fix it quickly. This means orders, records and customer information can be lost and the business may have to close for a period, leading to lost sales and unhappy customers.

Question 2

2(a) Responsibilities of management

Outline TWO responsibilities of the management of a business to EACH of the following: (i) Society; (ii) Employees; (iii) Customers (6 marks)

(a)(i) TWO responsibilities to society

- To protect the environment by controlling pollution, disposing of waste properly and using natural resources carefully so that the community is not harmed by the activities of the business.
- To support community development by paying taxes honestly, sponsoring local events, sports teams or schools, and providing employment for people in the area.

(a)(ii) TWO responsibilities to employees

- To pay fair wages on time and to provide safe working conditions, proper tools and protective equipment so that workers do not get hurt or fall ill on the job.
- To provide training and chances for promotion so that workers can develop their skills and move up in the business as they gain experience.

(a)(iii) TWO responsibilities to customers

- To sell goods and services that are safe, of good quality and properly labelled, and to charge a fair price that matches the value of the product.
- To deal honestly with customers, give truthful information in advertising, honour warranties and handle complaints quickly and fairly.

2(b) Teamwork and leadership

(i) State FOUR ways in which managers can encourage teamwork within an organization. (4 marks); (ii) Describe TWO characteristics that would make a Prime Minister or President a good leader. (4 marks)

(b)(i) FOUR ways managers can encourage teamwork

- Holding regular meetings where every team member is encouraged to share ideas and opinions about the work.
- Setting common goals and rewarding the whole team when those goals are met, instead of rewarding only individuals.
- Organising training sessions, retreats and social events so that team members get to know and trust each other.
- Treating every member of the team with respect and dealing with conflicts quickly and fairly so that no one feels left out.

(b)(ii) TWO characteristics of a good Prime Minister or President

Honesty and integrity

A good Prime Minister or President must be truthful in dealing with the public and must keep the promises made to the people. When citizens know that their leader is honest and not corrupt, they are more willing to follow his or her decisions, pay their taxes and support government programmes, which makes the country easier to run.

Strong vision and good communication skills

A good leader must have a clear picture of where the country should be going and must be able to explain that vision to citizens, ministers and foreign partners in simple, convincing words. By inspiring people through speeches and actions, the leader can unite the country behind common goals such as reducing crime, growing the economy or improving education.

2(c) Reducing conflict from Steve's promotion

The manager of DXC Ltd wants to promote Steve, a junior employee, to a key position in the organization. There are several employees who are senior to Steve and are interested in the same position. Discuss TWO strategies which the management of DXC Ltd can employ to reduce conflict that may arise from this promotion. (6 marks)

Use a clear, fair selection process based on merit

Management should set out in writing the qualifications, experience and skills needed for the new position and should interview every interested employee, including the senior workers, against those same standards. By showing that Steve was chosen because he best met the criteria, and not because of

favouritism, management can help the senior employees to accept the decision and reduce feelings of unfairness.

Hold meetings with the senior employees and offer training or other rewards
Management should meet privately with the senior workers who applied, explain the reasons for the decision and listen to their concerns. The company can then offer them training, new responsibilities or other forms of recognition such as bonuses or future promotion opportunities, so that they feel valued and motivated to keep working hard rather than holding a grudge against Steve or the company.

Question 3

3(a) Definition of e-commerce

Maggie recently bought books, shoes and clothes from an online company. Define the term 'e-commerce'. (2 marks)

E-commerce, short for electronic commerce, is the buying and selling of goods and services over the internet. It includes activities such as ordering items from an online store, paying with a credit or debit card on a website, and having the goods delivered or downloaded to the customer.

3(b) Advantages and disadvantages of e-commerce

State TWO advantages and TWO disadvantages of 'e-commerce'. (4 marks)

Advantages

- Customers can shop from home at any time of the day or night, which saves travel time and gives them access to a much wider range of goods than is available in local stores.
- Businesses can reach customers all over the world without having to set up shops in every country, which lowers their costs and increases sales.

Disadvantages

- Customers cannot touch, smell or try on the product before buying, so they may receive items that do not match what was shown on the website.
- There is a risk of fraud and theft of credit card or personal information by hackers and dishonest websites, which can cause customers to lose money.

3(c) Reasons firms offer trade discounts

Outline TWO reasons why firms offer trade discounts. (4 marks)

To encourage customers to buy in large quantities
A trade discount is a reduction off the list price given by one business to another, usually for buying in bulk. By offering this discount, the seller encourages wholesalers and retailers to place bigger orders, which means the seller moves more stock quickly and lowers the cost of storage and transport per unit.

To build long-term relationships with regular customers
When a firm gives trade discounts to wholesalers and retailers who buy from it often, those customers feel

valued and are more likely to keep buying from the same supplier rather than switching to a competitor. This helps the firm to keep a steady level of sales and to plan production with confidence.

3(d) Maggie's refrigerator purchase

Maggie plans to buy a refrigerator from a local store. (i) Discuss any TWO of the following 'terms of sale' options that are available to her: a) Hire purchase; b) Lay away plan; c) Credit sale; d) Credit card. (6 marks); (ii) Given that Maggie buys the refrigerator and it stops working after one month. Advise her of TWO actions which she may take to get compensation from the store. (4 marks)

(d)(i) TWO terms of sale options

Hire purchase

With hire purchase, Maggie would pay a deposit and take the refrigerator home immediately, then pay the rest of the price in fixed monthly instalments that include interest. The refrigerator legally belongs to the store until the final instalment is paid, so if Maggie misses payments the store can repossess it. This option lets her enjoy the refrigerator straight away even if she does not have the full price in cash.

Lay away plan

With a lay away plan, Maggie would choose the refrigerator and pay a deposit, and the store would put the item aside for her. She then makes regular payments over a few weeks or months, and only takes the refrigerator home after the full price has been paid. There is usually no interest, but she has to wait until she finishes paying before she can use the refrigerator.

(d)(ii) TWO actions Maggie may take to get compensation

- Maggie should return to the store with her receipt and warranty and politely ask the store to repair or replace the refrigerator, or to give her a full refund, since the item was not of merchantable quality.
- If the store refuses, Maggie can make a written complaint to the consumer affairs commission or take the store to court under the Sale of Goods Act, where she can claim a refund or damages for the faulty item.

Section II - Answer EITHER Question 4 OR Question 5

Question 4

4(a) Reasons for establishing a business and sources of capital

(i) State THREE reasons for establishing a business. (3 marks); (ii) Identify THREE sources of capital used in financing a business. (3 marks)

(a)(i) THREE reasons for establishing a business

- To make a profit and provide income for the owner and the owner's family.
- To be one's own boss and have the freedom to make decisions, instead of working for someone else.
- To provide goods or services that are needed in the community and to create jobs for other people.

(a)(ii) THREE sources of capital

- Personal savings of the owner, which is money the owner has put aside over the years.
- Loans from commercial banks or credit unions, which the business has to repay with interest.
- Investment by partners or shareholders, who put money into the business in exchange for a share of the profits.

4(b) Collateral

(i) Define the term 'collateral' and give TWO examples of collateral that may be used in a business transaction. (4 marks); (ii) Outline TWO reasons why collateral is important to a borrower. (4 marks)

(b)(i) Definition and TWO examples

Collateral is something of value that a borrower offers to a lender as security for a loan. If the borrower fails to repay the loan as agreed, the lender has the legal right to take and sell the item of collateral to recover the money owed.

- Land or buildings owned by the borrower.
- Motor vehicles or fixed deposits held by the borrower at a bank.

(b)(ii) TWO reasons collateral is important to a borrower

It allows the borrower to get a larger loan

When a borrower offers collateral, the lender feels much safer because the loan is backed by something of real value. Because of this lower risk, the lender is willing to give the borrower a larger sum of money than would be possible without collateral, which helps the business to invest in bigger projects and grow faster.

It usually leads to lower interest rates and better repayment terms

Loans backed by collateral are seen as less risky, so banks and other lenders are willing to charge a lower interest rate and to give the borrower more time to repay. This reduces the total cost of the loan to the borrower and makes the monthly payments easier to manage out of business profits.

4(c) Importance of business plan elements

Discuss the importance of EACH of the following elements of a business plan: (i) Executive summary; (ii) Financial projections (6 marks)

Executive summary

The executive summary is a short overview placed at the front of the business plan that gives the reader a quick picture of the whole business in just one or two pages. It states the name of the business, what it does, the target market, the amount of finance needed and the expected returns. Because banks and investors are busy people, the executive summary is often the only part they read carefully, so it must be clear and convincing if the owner is to attract the funding and support needed to start or expand the business.

Financial projections

Financial projections show in figures how the business is expected to perform over the next few years,

including the projected sales, expenses, profits and cash flow. They are important because they tell the owner whether the business idea is likely to be profitable and whether it will have enough cash to pay its bills. Lenders and investors also rely on these figures to decide whether the business will be able to repay loans and provide a fair return on their money, so realistic and well-prepared projections are central to getting finance.

Question 5

5(a) Roles of commercial banks

State TWO roles of commercial banks. (2 marks)

- To accept deposits from individuals and businesses and to keep their money safe in current, savings and fixed deposit accounts.
- To lend money to individuals and businesses through loans, overdrafts and mortgages, charging interest on the amounts borrowed.

5(b) Differences between business terms

Outline the differences between EACH of the following pairs of business terms: (i) Money market and capital market; (ii) Crossed cheques and open cheques; (iii) Bull market and bear market (6 marks)

Money market and capital market

The money market is the part of the financial system that deals with short-term borrowing and lending, usually for periods of less than one year, through instruments such as Treasury bills and short-term commercial paper. The capital market deals with long-term funds, for periods of more than one year, through shares, bonds and long-term loans used to finance major projects such as factories or office buildings.

Crossed cheques and open cheques

A crossed cheque has two parallel lines drawn across its face and can only be paid into a bank account, which makes it safer because it cannot easily be cashed by a thief. An open cheque has no such lines and can be presented at the counter of the drawer's bank for cash payment to the person named or to the bearer, so it carries a higher risk if it is lost or stolen.

Bull market and bear market

A bull market is a period when share prices on the stock exchange are rising and investors feel confident about the future of the economy, so they are eager to buy shares. A bear market is the opposite, a period when share prices are falling and investors are nervous about the economy, so they tend to sell shares to avoid further losses.

5(c) Benefits of starting one's own business

Describe THREE benefits that an entrepreneur may enjoy from starting his own business as opposed to purchasing investments. (6 marks)

Full control over decisions

When the entrepreneur starts his own business, he is the boss and can decide what to produce, how to run

the business and how to spend the profits. With investments such as shares or bonds, he is only a small part-owner or lender and has little or no say in how the company is run.

Higher potential earnings

If the business does well, all the profits belong to the entrepreneur, and these profits can be much greater than the dividends or interest he would earn from buying investments. The value of the business itself also grows over time and can be sold later for a large sum, giving him a much bigger reward for his effort.

Personal satisfaction and skills development

Running his own business gives the entrepreneur the pride of building something with his own hands and the chance to use his own ideas and creativity. He also develops valuable skills in management, marketing, finance and dealing with people, which an investor sitting at home with shares would not gain in the same way.

5(d) Investment options for entrepreneurs

Discuss TWO types of investment options that are available to entrepreneurs. (6 marks)

Shares (equity) on the stock exchange

An entrepreneur can use part of his money to buy shares in companies listed on the stock exchange. As a shareholder, he becomes a part-owner of those companies and can earn money in two ways, through dividends paid out of the company's profits and through the rise in the price of the shares over time. Shares can give high returns when companies do well, but their value can also fall, so the entrepreneur must accept some risk.

Government bonds and treasury bills

An entrepreneur can also invest in government bonds and Treasury bills, which are loans made to the government for a fixed period at a fixed rate of interest. These are seen as very safe investments because the government is unlikely to fail to pay, and they provide a steady, predictable income. The returns are usually lower than on shares, but the lower risk makes them attractive when the entrepreneur wants to protect part of his money.

Section III - Answer EITHER Question 6 OR Question 7

Question 6

6(a) Government responsibilities and business growth

Describe how the maintenance of EACH of the following responsibilities of government may affect the development and growth of businesses: (i) Law and order; (ii) A safe environment for investors; (iii) Job security and other benefits for workers (6 marks)

Law and order

When the government keeps law and order through an effective police force and fair courts, businesses can operate without constant fear of robbery, vandalism or fraud. Owners are willing to open shops, factories and offices, and customers feel safe to come out and buy. This stable environment encourages businesses to invest, expand and create more jobs.

A safe environment for investors

When the government protects property rights, enforces contracts and keeps political and economic conditions stable, both local and foreign investors feel confident about putting their money into the country. This brings in more capital, new technology and more competition, which helps existing businesses to grow and new ones to start up.

Job security and other benefits for workers

When the government enforces labour laws on minimum wage, paid leave, pensions and protection against unfair dismissal, workers feel secure and are more willing to give their best effort. Happy and motivated workers are more productive and stay longer with their employers, which lowers the cost of hiring and training and helps businesses to grow steadily.

6(b) Actions to protect the environment

Outline TWO actions which businesses could take to protect the environment. (4 marks)

Treating waste before disposing of it

Businesses can install proper systems to clean and treat their liquid and solid waste before releasing it, so that harmful chemicals do not enter rivers, the sea or the air. Factories can also recycle materials such as paper, plastic and metal instead of dumping them, which reduces pollution and saves natural resources.

Using energy-efficient equipment and renewable resources

Businesses can switch to energy-saving lights, machines and vehicles, and can install solar panels or other renewable energy sources where possible. This reduces the amount of fossil fuel burned and lowers the harmful gases released into the atmosphere, helping to slow down climate change.

6(c) Encouraging private sector to invest in education

Suggest TWO ways in which governments could encourage the private sector to invest in the education of its employees. (4 marks)

Offer tax breaks for training expenses

The government can allow businesses to claim the money they spend on training and education as a tax-deductible expense, or even give an extra tax credit on top of the actual cost. This lowers the company's tax bill when it invests in education and makes training a much more attractive use of business funds.

Provide grants and partnership programmes

The government can set up training funds, scholarships and apprenticeship programmes that share the cost of educating workers with private companies. By matching the money put in by a business or paying part of the wages of trainees, the government makes it easier for firms, especially small ones, to send their workers for further studies.

6(d) Benefits of investing in education

Discuss TWO benefits that could result from BOTH government and private businesses investing in education. (6 marks)

A more skilled and productive workforce

When government and private businesses both spend on education and training, workers gain better reading, writing, technical and problem-solving skills. These skilled workers can produce more goods and services of higher quality in the same time, which raises productivity, lowers costs and helps both businesses and the country to compete with firms in other countries.

Higher incomes, lower poverty and stronger economic growth

Better-educated workers earn higher wages, which improves the standard of living of their families and lifts many people out of poverty. As more people earn and spend, businesses sell more, pay more taxes and create more jobs. This sets off a cycle of economic growth where rising incomes, more investment and improved social conditions support each other over the long term.

Question 7

7(a) Definition of international trade

Define the term 'international trade'. (2 marks)

International trade is the buying and selling of goods and services between people, businesses and governments of different countries. It includes both visible trade in physical goods, such as oil, bananas and machinery, and invisible trade in services, such as tourism, banking and shipping.

7(b) Benefits of international trade

State THREE benefits of international trade. (6 marks)

Access to a wider variety of goods and services

Through international trade, a country can import goods that it cannot produce itself, such as certain machines, medicines or out-of-season foods. This raises the standard of living of citizens by giving them more choice and better quality at fairer prices.

Earning of foreign exchange from exports

By selling its own goods and services to other countries, a country earns foreign currency such as US dollars or pounds sterling. This foreign exchange is then used to pay for needed imports and to repay foreign loans, which helps to keep the economy stable.

Creation of jobs and economic growth

Producing goods for export creates jobs in farming, manufacturing, transport, banking and tourism. As output and incomes rise, the GDP of the country grows and the government collects more tax, which it can use to provide better public services.

7(c) Measures to improve international trade

Outline ONE way in which countries may use EACH of the following measures to improve international trade: (i) Modern technology; (ii) Development of the manufacturing sector; (iii) Investment in research (6 marks)

Modern technology

A country can use modern technology such as computer-controlled machines, the internet and improved shipping systems to produce goods faster, more cheaply and to international quality standards. Online platforms also allow local businesses to advertise and sell directly to customers in foreign countries, which expands the market for exports.

Development of the manufacturing sector

By building up the manufacturing sector through tax incentives, training and improved infrastructure, a country can turn its raw materials into finished goods that earn much more on the world market than the raw materials alone. For example, instead of exporting only cocoa beans, the country can export chocolate, which increases foreign exchange earnings and creates more jobs.

Investment in research

When a country invests in research and development, scientists and businesses can find new products, better farming methods and more efficient production processes. These new ideas help local firms to make goods that are unique, of higher quality or cheaper than those of competitors abroad, which makes the country's exports more attractive on the world market.

7(d) Effects of measures used to restrict international trade

Discuss the effects of EACH of the following measures used by countries to restrict international trade: (i) Tariffs or custom duties; (ii) Quotas (6 marks)

Tariffs or custom duties

A tariff is a tax placed on goods coming into the country from abroad, which makes the imported goods more expensive in local shops. Because the prices rise, consumers tend to switch to cheaper local products, which protects local industries and the jobs they provide. Tariffs also bring in revenue for the government. However, they can lead to higher prices for consumers, less choice and the risk that other countries will charge tariffs in return on the country's own exports.

Quotas

A quota is a limit on the quantity of a particular good that can be imported into the country in a given period. By keeping out part of the foreign supply, a quota gives local producers a larger share of the home market, which helps them to grow and to keep workers employed. On the other hand, the smaller supply of imported goods often pushes up prices, gives consumers fewer choices and may also invite foreign countries to set quotas on the country's exports in return.